PRESS RELEASE

7 August 2020

DEFERRAL OF REQUIREMENTS FOR INSURERS UNDER THE WORK INJURY COMPENSATION ACT 2019

Enacted in September 2019, the new Work Injury Compensation Act 2019 (WICA 2019) requires all insurers intending to sell Work Injury Compensation (WIC) insurance policies to be designated by the Ministry of Manpower, to be able to sell approved insurance policies and process claims (details in Annex A). This new regulatory regime was intended to take effect from 1 September 2020.

2 However, preparations by insurers have been affected by COVID-19 Circuit Breaker measures and remote working arrangements. The General Insurance Association (GIA) has thus requested to defer the implementation. MOM has considered GIA's request and agreed to **defer the implementation of the insurer regulatory regime till 1 January 2021** to ensure a smooth transition. Details on the deferral can be found on the MOM website. This deferral does not affect employers' existing obligations and employees' protections under WICA.

3 All other legislative amendments in the new WICA 2019 (details in Annex B) will continue to take effect from 1 September 2020 as announced earlier.

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4 Existing WIC insurance policies that comply with current WICA (Chapter 354) requirements and which commenced before 1 January 2021 will remain valid until expiry or 31 December 2021, whichever is earlier.

5 For policies which commenced on or after 1 January 2021, employers should ensure that their insurer has been designated by MOM, when renewing or buying WIC insurance policies. The list of designated insurers will be posted on MOM's website, after insurer designation begins on 1 September 2020.

<End of Release>

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Annex A: Summary of Regulatory Regime for WIC Insurers under WICA 2019

- Under WICA 2019, only insurers designated by MOM, known as **designated insurers**, can issue WIC insurance policies.
- WIC insurance policies issued by designated insurers must be **approved policies**, which comply with the compulsory terms set out by MOM.
- Designated insurers are required to **share claims information** with MOM, and this will be shared with other designated insurers. This enables insurers to price premiums more accurately, and safer companies will pay less premium.
- Designated insurers will **process all claims** that are insured under their approved policies.

Annex B: Effective Date of WICA 2019 Key Amendments

Effective 1 September 2020	Effective 1 January 2021
All the other WICA 2019 Amendments, including key ones i.e.: ○ Employer to report any instance of leave arising from work injury (including light duties) ○ Claim is deemed as made once the employer has notice of the accident ○ Compensation can be based on a multiple of basic monthly salary ○ Compensation can be based on Current Incapacity assessment ○ Employer is liable to compensate for shortfall in earnings when employee is on light duties ○ MOM may allow for doctor-switching for Current/Permanent Incapacity assessment ○ Greater recourse for employers to recover compensation paid on basis of error or fraud ○ Increased penalties for offences	**Requirements for WIC Insurers** Policies commenced on/after this date must be: ○ Aligned to WICA 2019 compulsory terms; and ○ Issued by Designated Insurer (insurer can be designated from 1 September 2020 onwards) All claims arising from these policies will be processed by the Designated Insurers.